

Annual Report

& Accounts 2003



24hr **MOVE** ATM



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Corporate Information

Maelezo ya Shirika

DIRECTORS

N Muriuki Mugwandia - Chairman
* M N Davidson - Managing Director
* S J Caley
G A Maina
F M Mbiru
F N Mwanzia
A S M Ndegwa
J P M Ndegwa
I Ochola-Wilson
M L Somen

* British

AUDIT COMMITTEE

F N Mwanzia - Chairman
F M Mbiru
A S M Ndegwa

ADVANCES CREDIT COMMITTEE

F Mbiru - Chairman
F N Mwanzia
A S M Ndegwa
M L Somen

HUMAN RESOURCES & NOMINATION COMMITTEE

I Ochola Wilson - Chairman
F M Mbiru
A S M Ndegwa

SECRETARY

L Murage
NIC House, Masaba Road
P O Box 44599, GPO 00100
Nairobi

REGISTERED OFFICE

NIC House, Masaba Road
P O Box 44599, GPO 00100
Nairobi

REGISTRARS AND TRANSFER OFFICE

Barclays Advisory and
Registrar Services Ltd
1st Floor, Bank House, Moi Avenue
P O Box 30120, GPO 00100
Nairobi

AUDITORS

Deloitte & Touche
'Kirungii' Ring Road, Westlands
P O Box 40092, GPO 00100
Nairobi

Members of the Board

Wakurugenzi



N Muriuki Mugwandia
Chairman

Mr. Mugwandia aged 73, has a BA Degree from Makerere University. He is a past CEO of Kenya Shell/BP Kenya Limited; past Chairman of the Federation of Kenya Employers and immediate past Chairman of First Chartered Securities Limited. Currently he is also a director of Brooke Bond Kenya Limited and Chairman of PZ Cussons East Africa Limited. He joined the NIC Board in 1998.



M N Davidson (British)
Managing Director

Mr Davidson aged 60, is an Associate of the Chartered Institute of Bankers. He joined Barclays Bank, UK in 1961 and worked in senior positions in many countries, including a period of secondment to the Regulatory Authority in Gibraltar as Banking Supervisor. In 1998 he retired from Barclays Bank as Executive Director, Retail in Kenya to join NIC Bank and was appointed to the Board in 1998.



S J Caley (British)
Executive Director

Mr Caley aged 56, is an Associate of the Chartered Institute of Bankers. He has extensive banking experience having worked with Standard Chartered Bank and Stanbic Bank in many countries of Africa and Asia. He joined NIC Bank in mid 2002 as Head of Corporate Business and the Board in 2003.



J P M Ndegwa
Non-Executive Director

Mr Ndegwa aged 40, holds an MA Degree from Oxford University, UK and is an Associate of the Chartered Insurance Institute, UK. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position he was the Managing Director Lion of Kenya Insurance Company. He joined the NIC Board in 2003.



M L Somen
Non-Executive Director

Mr Somen aged 67, is a barrister-at-Law, Grays Inn, England, MA Degree from Brasenose College, Oxford and an Advocate of the High Court of Kenya. He is now a consultant with Hamilton, Harrison and Mathews having retired as Senior Partner. He is a Director of a number of companies including Kenya Airways, Marshalls East Africa, Delamere Estates, and The Nairobi Stock Exchange. He joined the NIC Board in 2001.



F N Mwanzia
Non-Executive Director

Mr Mwanzia aged 59, has a B Com degree from Nairobi University and is a qualified member of the Association of the Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He joined NAS Airport Services in 1976 as Financial Controller and Company Secretary. He is a director of several companies and joined the NIC Board in 1995.



F M Mbiru
Non-Executive Director

Mr Mbiru aged 66, has a BA degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He worked for Barclays Bank between 1964-1993 rising to the position of General Manager. He is currently a management consultant and a director of several companies. He joined the NIC Board in 1993.



A S M Ndegwa
Non-Executive Director

Mr Ndegwa aged 36, holds an MA (Hons) Degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Corporate Director of First Chartered Securities Limited and previously worked for Citibank and AMbank. He joined the NIC Board in 1997.

Members of the Board

Wakurugenzi



I Ochoa-Wilson
Non-Executive Director

Mrs Ochoa-Wilson aged 54, has a BA from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She previously worked for Johnson & Johnson as General Manager and Deputy Director with Kenya Wildlife Services. She is currently Project Manager for DFID's Business Partnership Programme and is a Director in a number of organizations including Council membership of the University of Nairobi. She joined the NIC Board in 1999.



G A Maina
Non-Executive Director

Mr Maina aged 52, has a B.Tech degree from Loughborough University, UK. He has had a long business career in the private sector, mainly with Shell where he held senior positions in the Caribbean and Central America, West Africa, East Africa and Africa Region. He has been a Board Member of a diverse group of companies and organizations covering oil, chemicals, sugar, refineries, finance and conservation sectors in Kenya and abroad. Currently he is a business consultant. He joined the NIC Board in 2002.



L Murage
Company Secretary

Mr Murage aged 46, has a B Com degree from Nairobi University and is a Certified Public Accountant and Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Pricewaterhouse and Mobil Oil before joining the banking sector in 1986. He is the Head of Finance and Administration and was appointed Company Secretary in 1999.

Chairman's Report

Taarifa ya Mwenyekiti



I am pleased to present the annual report on the activities and performance of NIC Bank for the year ended 31 December 2003.

THE ECONOMY

Kenya's economy remained virtually stagnant, recording only a marginal GDP growth rate at 1.4 percent from 1.0 percent in 2002. Basically a continuation of the malaise carried over from the past decade. The situation was not helped by political wrangles within the ruling party and a worsening security situation.

However, this poor performance masks the government's wide-ranging reform initiatives to restore good governance in the public sector and to improve investment climate in the country.

Programme support by the World Bank, IMF and other development partners has resumed. A trade protocol between Kenya, Tanzania and Uganda has been signed by the three Heads of State. Government continued to engage existing and potential investors in discussions on how to improve investment climate. Anti-corruption legislation has been passed and a code of conduct for public servants introduced; the clean-up of the judiciary is in full force. Further liberalization of the telecommunications sector has taken place. Privatisation of more parastatals is expected. Hopefully, the aforementioned reforms will start to benefit economic growth starting 2004.

Inflation remained at a low single digit rate, peaking at 8.3 percent towards the end of the year. A stable foreign exchange market prevailed and there was a

healthy improvement in the balance of payments. Available liquidity also increased from the release of cash to the banks, following a reduction in cash ratio requirements.

Returns on Government short term securities declined drastically: the Treasury Bill interest rates, traditionally used as a benchmark, declined from 8.5 percent in December 2002 to the unprecedented low level of 0.8 percent in September 2003, subsequently settling at 1.5 percent in December 2003.

This development, combined with increased liquidity resulted in substantial drop in interest rates on the one hand; and a sharp appetite for shares at the Stock Exchange; raising the closing index to 2,737 at 31 December 2003 from 1,362 in 2002.

THE BANKING SECTOR

Competition for both deposits and lendings intensified given the stagnant economy and low interest regime. Indeed, the main differentiation between banks was in the development of innovative products and services.

The resumption of external aid proved to be a very positive factor as it led to a general increase in deposit liabilities boosting the capacity of the banks to lend mainly to households, transport, communications and agriculture.

Contribution from non-interest sources of income became an important component of total operating income.

Overall, performance of the Sector improved in terms of profitability and reduction of non-performing loans.

NIC BANK RESULTS

The bank recorded accelerated growth, driven by strengthened staff capacity enabling the bank to engage in focused and aggressive marketing.

Customer deposits recorded a 22 percent growth to reach nearly Shs.8 billion. There was an improved mix in local and foreign currency accounts, with evident growth in both the current and savings customer base. Net loans and advances recorded a 46 percent growth to reach nearly Shs.7 billion, attributed to aggressive strategies to attract quality business both in the Corporate and Asset Finance sectors.

Chairman's Report

Taarifa ya Mwenyekiti



Total operating income rose to Shs.944.5 million nearly 14 percent over the previous year. In this connection, interest income (the bank's main source of revenue) was maintained at previous year's level despite the prevailing substantial decline in interest rates. However, non-interest income grew by 21 percent.

Normal operating costs rose in line with increased staff compliment. Additionally, the bank incurred exceptional costs amounting to Shs.58.3 million which relate to marketing and operations costs of the "MOVE" project, which is covered in detail below under products and services. This exceptional item is netted off in reporting profit before tax.

Against this background, NIC Bank recorded a profit before tax of Shs.359 million representing a growth of 5.6 percent.

DIVIDEND

The Board is recommending an increased final dividend of Shs1.65 per share, up from Shs.1.40 in 2002. The total dividend for the year of Shs.2.25 per share represents a distribution of Shs.185 million (Shs.165 million in 2002) or 76 percent (72 percent in 2002) of profit after tax. The higher dividend has been recommended in view of the bank's improved performance and existing strong level of shareholder's equity.

Our capital base remains one of the strongest in the sector due to consistent retention of earnings with shareholders' funds now standing at Shs.2,576 million as compared to Shs.2,498 million in 2002.

PRODUCTS AND SERVICES

In my statement last year I alluded to a major initiative to enhance customer service delivery channels. The bank launched a new personal banking package during the last quarter of the year branded "MOVE" which is revolutionizing personal banking in Kenya by offering customers "a brand new way of banking".

We have four MOVE Zones with an Automated Teller Machine (ATM) at each of these locations and an additional three stand-alone ATM's. More MOVE Zones and ATM's will be opened/installed during the year 2004 at strategic locations that have been identified.

A greater range of innovative products will also be introduced in 2004 and these will contribute to the growth and profitability of the bank over the longer term as well as serving customers in areas where our surveys have established there is a need.

RECOGNITION

In 2003, the bank received top awards in the Financial Reporting (FIRE) Awards for Excellence in recognition of excellence in financial reporting and corporate citizenship disclosures among companies in Kenya. High standards were maintained during the year and the bank continued to enjoy favourable credit ratings from internationally recognized credit rating agencies.

SOCIAL RESPONSIBILITY

The bank continued supporting community projects and needs and to this end contributed both financially and materially to various activities and charities. Most of the bank's contribution was directed at the very deserving sectors in health, education and environmental conservation.

LOOKING FORWARD

The bank is confident to benefit from its existing and planned strategic measures including product diversification and optimal use of its advanced information technology. Product delivery channels will continue to be developed to meet customer expectations.

It must be appreciated however that the prospects for economic growth will be largely determined by political stability and determination to implement necessary reforms.

BOARD CHANGES

Mr. JPM Ndegwa was appointed as a director on 19 November 2003. He brings to the board a wealth of experience and expertise having worked in the insurance industry for seventeen years. I welcome him to the board.

CONCLUSION

Special thanks go to our customers, depositors and business partners for their continued support; to the management and staff who have performed well in a challenging and competitive environment and last, but by no means least, to my fellow directors for their continued support and guidance.

Chairman's Report

Taarifa ya Mwenyekiti



HALI YA UCHUMI NCHINI

Hali ya uchumi nchini ni kama ilikuwa duni, huku ikirekodi ukuaji wa kiwango cha asilimia moja nukta nne (1.4%) tu kutoka asilimia moja (1%) mwaka jana. Hali hii duni inaendelea majanga ambayo yamekuwa yakiikumba nchi hii kwa mwongo mmoja uliopita. Wasiwasi kuhusu ukosefu wa usalama na kutoelewana wa kisiasa hasa katika chama tawala hazikusaidia hali ya uchumi nchini humu. Lakini, hali hii mbaya ilifunika bidii kubwa ya serikali ya kufanya mabadiliko ili kuuleta usimamizi bora katika sekta ya umma na pia kuhakikisha mazingira ya uwekaji rasilmali imeimarika.

Utaratibu wa wafadhili, wakiwemo Benki ya Ulimwengu na Shirika la Fedha Duniani wa kusaidia Kenya kiuchumi, ambao ulisimamishwa kwa miaka mingi, sasa umerudishwa. Mpangilio wa kufanya biashara wa nchi tatu za Afrika Mashariki – Kenya, Uganda na Tanzania – umetiwa sahihi na marais wa nchi hizi tatu.

Serikali pia haikuachwa jangwani kwani iliendelea kuhusika sana katika mashauriano na wawekaji rasilmali walioko na wajao pia kuhusu vile mazingira ya uwekaji rasilmali inaweza kuimarishwa. Sheria za kukomesha ufasidi zilipitishwa na bunge ilhali kanuni za mwenendo wa wafanyi kazi wa umma ziliwekwa kuzuia utumiaji vibaya wa mamlaka; katika mahakamani ufagiaji wa maafisa wafisadi na wanaotumia vibaya mamlaka unaendelea. Sekta ya mawasiliano imezidi kuwekwa huru huku uuzaji wa mashirika ya serikali kwa watu na makampuni binafsi ukitarajiwa kuendelea. Kuna matumaini kwamba mabadiliko haya yote yatawezesha ukuaji wa uchumi kwanzia mwaka huu na miaka ijayo. Hakukuwa na hali mbaya ya fedha kupungua thamani kwani kiwango kilichokuwa kibaya zaidi ni cha asilimia nane nukta tatu (8.3%) tu.

Katika soko la ubadilishanaji fedha hali ilikuwa tulivu na nchi ilikuwa pia na maendeleo mazuri kuhusiana na ulipaji

wake wa madeni. Wingi wa pesa pia ulikuweco kutokana na serikali kuzipatia benki pesa baada ya kukipunguza kile kiwango fulani cha pesa tasilimu benki inashurutishwa kuweka kwenye Banki Kuu Ya Kenya.

Faida kutokana na mikopo ya muda mfupi ya serikali ilipungua sana; Viwango vya riba ya hundi za serikali, ambazo kwa kawaida hutumiwa kama kipimo cha hali ya ukuaji wa uchumi, vilipungua kutoka asilimia nane nukta tano (8.5%) katika mwaka jana, na kuteremka ajabu mpaka asilimia sufuri nukta nane (0.8%) katika Septemba 2003 huku vikitulia katika asilimia moja nukta tano (1.5%) katika Desemba 2003. Mabadiliko haya na wingi wa pesa, yalisababisha uzorotaji sana wa viwango vya riba kwa upande mmoja; na hali ya ununuzi mwingi wa hisa katika soko la hisa; hii ilifanya hali ya kipimo cha hisa kufikia 2,737 katika Desemba 31 kutoka 1,362 mwaka wa 2002.

SEKTA YA BENKI

Mashindano makali ya kutafuta wawekaji akiba na wenye kukopeshwa mikopo"yalipamba moto huku ikikumbukwa kuwa hali ya kiuchumi ilikuwa duni na viwango vya riba vilikuwa chini. Kwa hivyo, hali ya kutofautisha benki moja hadi nyingine ilikuwa katika kuanzisha na kuendelea bidhaa na huduma mpya.

Kurejea kwa wafadhili wa kukopesha Kenya fedha kulikuwa ni hatua moja yenye mwelekeo muafaka kwa uchumi kwani hali hii iliongeza uwekaji akiba na hivyo kuwezesha benki kukopeshana hasa katika sekta za uchukuzi, mawasiliano, kilimo na pia matakwa ya kinyumbani. Mchango kwa mapata yasiyo riba pia ilimaarisha hali ya biashara katika sekta hii. Kwa vyo vyote vile, hali ya sekta hii iliimarika kifaida na pia katika kuona kwamba mikopo iliyokuwa hailipwi inaendelea kupungua.

MATOKEO YA BENKI YA NIC

Benki iliendelea kurekodi ukuaji mkubwa, huku ikisaidiwa na hali ya juu ya wafanyi kazi walioiwezesha benki kuhusika vyema katika mbinu za kuuza bidhaa na huduma zake na pia kuelekeza macho mbele.

Uwekaji akiba kutoka kwa wateja ulikua kwa kiwango cha asilimia 22 na kufikia karibu Shilingi Bilioni Nane (Shs.8 billion). Kulikuwa na ongezeko katika akaunti za hapa nchini na za kigeni, huku ikionekana wazi kwamba akaunti za kuweka akiba na zile za kuweka pesa na kutoa mtu anavyotaka zikiongezeka zaidi.

Mikopo ilirekodi ongezeko la asilimia arobaini na sita (46%) kufikia karibu Shilingi bilioni saba (Shs.7 billion), hali iliowezekana kutokana na mbinu shujaa za kutafuta biashara ya hali ya juu katika mashirika makubwa na yale

Chairman's Report

Taarifa ya Mwenyekiti

yanayohusika na mali. Mapato yote ya kiasi kilichotengwa kufanya shughuli za benki yaliongezeka mpaka Shilingi milioni mia tisa arobaini na nne nukta tano (Shs.944.5 million), kiasi ambacho ni ongezeko la karibu asilimia kumi na nne (14%) zaidi ya mwaka uliopita. Kuhusu jambo hili, mapato kutokana na riba (ambayo ndiyo tegemeo kubwa la benki kwa mapato yake) yalishikilia kiwango cha mwaka uliopita hata kama kulikuwa na hali ya kuzorota kwa viwango vya riba. Hata hivyo, mapata yasiyo riba yaliongezeka kwa kiasi cha asilimia ishirini na moja (21%).

Gharama za kuendeleza shughuli za kawaida za benki iliongezeka kulingana na vile wafanyi kazi walivyotuzwa. Mbali na haya, benki ilipata gharama za kipekee za Shilingi milioni hamsini na nane nukta tatu (Shs.58.3 million) kutokana na kampeini ya kufanya mradi wa MOVE, ambao umezungumziwa kwa kirefu hapa chini, ujulikane. Gharama hii ya kipeke imeshirikishwa katika ripoti ya faida kabla ya ushuru. Kwa haya yote, Benki ya NIC ilipata faida ya Shilingi milioni mia tatu na hamsini na tisa (Shs.359 million) kabla ushuru, faida ambayo inasimamia ongezeko la faida kwa kiasi cha asilimia tano nukta sita (5.6%).

MGAWO

Halmashauri ya benki inapendekeza mgawo wa shilingi moja na senti sitini na tano (Shs.1.65) kwa kila hisa, kutoka shilingi moja na senti arobaini (Shs.1.40) zilizolipwa mwaka uliopita. Mgawo wote wa mwaka ambao ni shilingi mbili na senti ishirini na tano kwa kila hisa (Shs.2.25) unawakilisha Shilingi milioni mia moja themanini na tano (Shs.185 million) ama asilimia sabini na sita baada ya ushuru kutoshwa.

Mwaka wa 2002 kiasi kilichotengewa wenye hisa ni shilingi milioni mia moja sitini na tano (Shs.165 million) au asilimia sabini na mbili ya faida baada ya kutoshwa ushuru. Mgawo huu mnono umependekezwa kutokana na hali njema ya shughuli za benki na pia kwa sababu ya hali thabiti ya wenye hisa. Msingi wetu wa kifedha umeondokea kuwa wenye uthabiti mkubwa katika sekta hii kwa sababu ya wenye hisa kuendelea kuweka akiba mapato ya hisa zao.

Sasa pesa za wenye hisa ni shilingi milioni elfu mbili, mia tano na sabini na sita (Shs.2,576 million) ikilinganishwa na shilingi milioni elfu mbili, mia nne na tisini na nane (Shs.2,498 million) za mwaka uliopita.

BIDHAA NA HUDUMA.

Katika ripoti yangu ya mwaka uliopita, niliguzia kuhusu maandalizi makubwa yenye kuendelea zaidi huduma bora kwa wateja. Katika robo ya mwisho wa mwaka benki ilianzisha mpango mpya wa kibinafsi wa shughuli za kuweka na kutoa pesa unaojulikana "MOVE" ambao unaelekea kuleta mageuzi makuu nchini kwa kuwawezesha wateja kupata mbinu mpya za shughuli za benki.

Sasa, tuko na kona nne nchini za MOVE ambazo zimewekwa mitambo ya kompiuta za kuweka na kutoa pesa yaani Automated Teller Machines (ATM) kwa kila moja na zingine tatu ambazo pia zina ATM ambazo zimewekwa pahali pake kando. Mwaka huu pia, tuna mipango ya kuongeza MOVE na ATM katika mahali mbalimbali kunakojulikana tayari. Bidhaa zaidi mbalimbali za kupendeza pia zitaanzishwa mwaka huu na inatazamiwa zitaitolea benki hii maendeleo makubwa na faida nono katika siku zijazo na pia kutumikia wateja katika sehemu ambazo uchunguzi umeonyesha zinahitajika.

SIFA YA HESHIMA

Katika mwaka wa 2003, benki yetu ilitunukiwa tuzo za juu katika *Financial Reporting (FIRE) Awards for Excellence* kama heshima kwa hali ya juu ya ukadiriaji hesabu zake na ushirika mzuri wa kiwazi katika uhusiano na miongoni mwa makampuni nchini. Hali ya juu ya kazi ilidumishwa na benki iliendelea kupata sifa nzuri za hali ya ukopaji kutoka kwa mashirika yanayotambulikana ulimwenguni.

SHUGHULI ZA KIJAMII

Benki yetu iliendelea katika shughuli za kuchangia miradi ya kijamii na matakwa yake na ni katika msimamo huu ambapo ilijitolea kwa hali na mali kuisaidia miradi ya hapa na pale. Miradi mingi ambayo benki ilihusika nayo ni ile inayohitaji sana usaidizi kama vile katika sekta za kiafya, elimu na upaliliaji mazingira.

SIKU ZA USONI

Benki yetu ina uhakika kuwa itapata faida kutokana na mipango iliyoopo ya shughuli zake na pia ile ililenga kama vile kuongeza na kuinua hali ya bidhaa zake na pia kuitumia kikamilifu teknolojia yake ya habari ambayo ni ya hali ya juu. Mbinu zo zote zile zenye kuwezesha kuwahudumia wateja kikamilifu zitazidi kutafutwa.

Lakini lazima ikumbukwe kwamba hali ya ukuaji wa kiuchumi utatokana na hali ya uthabiti wa kisiasa na uwezo wa kuleta mabadiliko yanayohitajika.

MABADILIKO YA HALMASHAURI

Bwana JPM Ndegwa aliteuliwa kuwa mkurugenzi mnamo Novemba 19, 2003. Bw.Ndegwa ameuleta ujuzi mkubwa katika halmashauri kwani amewahi kufanya kazi katika sekta ya bima kwa miaka kumi na saba. Namkaribisha katika halmashauri.

MWISHO

Shukrani nyingi ziwaende wateja wetu, wenye akiba na wale tunaofanya biashara pamoja kwa kuendelea kuwa nasi. Shukrani pia ziwaendee wasimamizi na wafanyi kazi wote ambao wamefanya kazi zao barabara katika mwaka mgumu na wenye mashindano mengi. Mwisho, shukrani ziwaende wakurugenzi wenzangu.

Corporate Governance

Mwongozo na Ushirikiano wa Umoja wa Kampuni



The Board of Directors supports best practice in corporate governance and has adhered to the guidelines on corporate governance practices developed by the Capital Markets Authority for public listed companies in Kenya.

Board of Directors

The Board consists of a Chairman, N Muriuki Mugwandia, seven non-executive directors and two executive directors. The directors' biographies appear on page 3 and 4.

All the non-executive directors are considered by the Board to be independent of management and have an appropriate range of business expertise for the bank's activities.

All the directors are required to submit themselves for re-election at least every three years. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Details of the directors fees for the non-executive directors and remuneration of the executive directors is set out on page 31.

Business transactions with the directors or related parties are carried out at arms length and all such transactions, which are fully tangibly secured, are disclosed on page 48.

Responsibilities

The Board meets quarterly to consider key issues such as compliance with statutory and regulatory requirements, review of monthly financial results, approval of the quarterly publication of financial statements and any matters which would have a material effect on the company's financial position, future strategy or reputation.

To enable the board to function effectively and allow directors to properly discharge their responsibilities, full and timely access is given to all relevant information. In the case of board meetings, this consists of a comprehensive set of papers, including

regular business progress reports and discussion documents regarding specific matters.

Committees of the Board

The board delegates to the Managing Director powers for the day-to-day management of the company; and to assist him in fulfilling his responsibilities, the Board has constituted the following committees: Audit, Human Resources, Nominations and Advances Credit Committees. Other ad hoc committees are set up as and when the need arises. Further details of these committees are given below.

Audit Committee

The committee is chaired by a non-executive director, Mr. F N Mwanzia, and comprises of two other non-executive directors, the Managing Director and the Executive Director, Corporate. The Internal Auditor, together with Heads of Departments are in attendance by invitation. The external auditors may also be invited from time to time.

The Committee meets quarterly to review all areas of risk to the bank and audit reports of the respective departments as audited, ensuring that appropriate action has been taken on the recommendations of the internal auditors.

Human Resources Committee

This committee, chaired by Mrs. I Ochola-Wilson, meets on ad hoc basis and is made up of three non-executive directors.

The committee is responsible for all matters of HR policy of a strategic nature.

Nominations Committee

Also chaired by Mrs. I Ochola-Wilson, this committee made up of three non-executive directors meets on ad hoc basis.

Its function is to make recommendations to the Board to fill vacancies for executive and non-executive

Corporate Governance

Mwongozo na Ushirikiano wa Umoja Kampuni

directors looking at the mix of skills, experience and expertise that any candidate could bring to the board.

Advances Credit Committee

This committee is chaired by a non – executive director, Mr FM Mbiru and is made up of four non-executive directors, the Managing Director and Executive Director Corporate. This committee meets at least once a month to consider and approve new credit limit applications and renewal of existing facilities within limits set by the Board.

Management Committees

The Managing Director has set up the following committees, which he chairs, to assist him in the management of the bank.

- Executive Committee.
- Assets and Liabilities Management Committee.
- Information Technology Steering Committee.
- Risk Management Committee.
- Human Resources Committee.

Relationship with Shareholders

The company publishes audited annual accounts which are sent out to all shareholders who are entitled to attend the Annual General Meeting and receive a Notice of Meeting which is posted at least 21 clear days before the meeting.

Shareholders also have direct access to the company or the company's registrars, Barclays Advisory Registrars, and we respond to any letters from them on a wide range of issues.

The bank's results are published in the daily newspapers every quarter in line with the Central Bank requirements. The results are also available on our website, www.nic-bank.com

All shareholders have the opportunity to ask questions on any matter relating to the bank at the annual general meeting. Shareholders have an opportunity to meet the Directors informally after the meeting.

Internal Control

The directors acknowledge their responsibility as set out on page 19 for the bank's system of internal financial control, including taking reasonable steps to ensure that all systems are properly maintained. Internal control systems are designed to meet the particular needs of the bank, and the risks to which it is exposed with procedures intended to provide effective internal financial control.

Directors Shareholding

No director in his/her individual capacity has any holding that is more than 1% of the bank's total issued share capital.

Remuneration Policy

The bank endeavours to offer competitive remuneration packages which are designed to attract, retain and motivate staff of the highest calibre. Packages are reviewed annually to ensure that they are in line with the market and the bank's business objectives.

Non executive directors are paid a monthly fee plus a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the company's bonus schemes.

Ethical Standards

The bank adheres to the banking code of ethics which requires all employees to conduct business with the highest standards of personal and corporate integrity. Each member of staff is required to sign a declaration for secrecy every six months.

Employees

The bank encourages dialogue and participation from all employees through internal e-mail, staff magazines and a staff conference which is held every six months. There is an Ideas Scheme Committee in which all staff may participate by giving ideas that add value to the bank. Staff members are rewarded for any of their ideas that may be implemented.

Corporate Governance

Mwongozo na Ushirikiano wa Umoja Kampuni



SHARE HOLDING

The number of shareholders as at 28 February 2004 was 18179 (2003-18292).

A. Principal Shareholders

The top 10 major shareholders, based on the bank's share register as at 28 February 2004 were as follows:-

Name	No. of Shares	%
First Chartered Securities Ltd	13,068,491	15.86
ICEA Investment Services Ltd	7,469,278	9.07
Livingstone Registrars Ltd	6,445,053	7.82
Rivel Kenya Ltd	6,129,239	7.44
Duncan Nderitu Ndegwa	3,654,132	4.43
Saimar Ltd	2,614,467	3.17
Amwa Holdings Ltd	1,568,021	1.90
Makimwa Consultants Ltd	1,000,000	1.21
Stanbic Nominees Kenya Ltd	733,588	0.89
Murwoki Holdings Ltd	719,454	0.87
Total	43,401,723	52.66

B. Distribution Schedule

Category	No of Shareholders	No of Shares	%
1-500 shares	10,711	3,674,629	4.46
501-5,000 shares	6,566	9,278,977	11.26
5,001-10,000 shares	406	2,963,502	3.60
10,001-100,000 shares	448	12,297,128	14.92
100,001-1,000,000 shares	41	13,251,634	16.08
1,000,001 and over	7	4 0,948,681	49.68
Total	18,179	82,414,551	100.00

C. Shareholders Profile

Category	No of Shareholders	No of Shares	%
Kenyan individual investors	17,409	29,301,014	35.56
Kenyan institutional investors	750	52,492,382	63.69
East African individual investors	3	45,000	0.05
East African institutional investors	0	0	0
Foreign individual investors	11	117,159	0.14
Foreign institutional investors	6	458,996	0.56
Total	18,179	82,414,551	100.00

Corporate Governance

Mwongozo na Ushirikiano wa Umoja Kampuni



Usimamizi wa Kampuni

Halmashauri ya Wakurugenzi inaunga mkono utaratibu wa maongozi unaofaa na imefuata utaratibu uliopendekezwa na halmashauri ya Masoko nchini (Capital Markets Authority) kuhusu uongozi wa mashirika yaliyo sajiliwa kwenye soko la Hisa.

Halmashauri ya Wakurugenzi

Wanachama wa halmashauri hii ni Mwenyekiti, Bw N Muriuki Mugwandia, wakurugenzi wanane wa kawaida pamoja na wakurugenzi watendaji wawili. Habari kuhusu wakurugenzi inatapatikana katika ukurasa wa 3 na 4.

Halmashauri inawachukulia wakurugenzi wote wa kawaida kuwa huru na usimamizi wa benki na wana kiwango fulani cha utaalumu wa kazi za benki hii. Wakurugenzi wote wanatarajiwa kujiwasilisha kuchaguliwa tena kila baada ya miaka mitatu.

Kila mkurugenzi ambaye atateuliwa katikati ya mwaka atatakiwa kustaaifu na baadaye kusimama uchaguzini tena wakati wa mkutano mkuu wa kila mwaka ambao utafuata. Maelezo kuhusu malipo ya wakurugenzi wa kawaida na marupurupu ya wakurugenzi watendaji yanapatika katika ukurasa wa 31.

Biashara zote kati ya wakurugenzi au wahusika wa karibu hufanywa kibiashara na biashara kama hizo zimefafanuliwa waziwazi katika ukurasa wa 48.

Majukumu

Halmashari hukutana mara nne kila mwaka – kila baada ya miezi mitatu– kujadili maswala muhimu kama vile kufuatwa kwa masharti yaliyowekwa, kukagua matokeo ya kila mwezi ya biashara za benki, kupitisha uchapishaji wa taarifa ya matumizi ya fedha ya miezi mitatu na pia kujadili mambo mengine muhimu ambayo yanaweza kuadhihi kampuni, faida ya kampuni, malengo yake ya baadaye na sifa ya kampuni.

Ili halmashauri kutimiza wajibu wake kwa njia muafaka na kuiwezesha kusaidia wakurugenzi wake kutimiza wajibu wao, habari muhimu na zinazofaa zinatolewa kwa wakati wote. Kwa mfano, wakati wa mikutano ya halmashauri, habari hizo zinahusu maandishi maalum ambayo yanakuwa pamoja na

taarifa kamili ya ufanisi wa kampuni maandishi mengine kuhusu mambo tofauti yanayohusu kampuni.

Kamati za Halmashauri

Halmashauri imempatia idhini Mkurugenzi Mkuu mamlaka ya kuhakikisha kuwa usimamizi wa kila siku wa kampuni unaendelea vyema. Ili kumsaidia Mkurugenzi mkuu kuzifanya kazi zake, bodi imeunda kamati zifuatazo: Ukaguzi wa hesabu, kamati ya kushugulikia maswala ya wafanya kazi na uajili na pia kamati ya uteuzi na ile ya utoaji wa mikopo. Kamati zingine za muda huundwa wakati zinapohitajika. Habari zaidi kuhusu kamati hizi ni kama ifuatavyo:

Kamati ya Ukaguzi wa Hesabu

Kamati hii inaongozwa na Mkurugenzi wa kawaida, Bw F N Mwanzia, na ina wakurugenzi wengine wawili ambao ni Mkurugenzi Mkuu na pia Mkurugenzi Mtendaji anayehusika na maswala ya ushirikiano wa kampuni. Mkaguzi wa hesabu wa kampuni pamoja na wasimamizi wa idara mbalimbali huhudhuria mikutano wakialikwa.

Wakaguzi wa hesabu za kampuni wa nje pia huhudhuria mara kwa mara wakialikwa. Kamati hii hukutana mara nne kila mwaka ili kushugulikia sehemu zote ambazo zinaweza kuhatarisha biashara ya benki na pia kukagua hesabu za idara tofauti. Pia huhakikisha kuwa mapendekezo yaliyotolewa na wakaguzi wa hesabu za benki yametimizwa.

Kamati ya Usimamizi wa Wafanyikazi na Uajiri

Kamati hii, ambayo inaongozwa na Bi. I Ochola – Wilson, hukutana wakati kuna haja. Kamati hii huwa na wakurugenzi wa kawaida watatu. Kamati hii inasimamia mambo yote yanayohusiana na sera za wafanyikazi na ambayo inahusu mipango.

Kamati ya Uteuzi

Kamati hii pia inaongozwa na Bi I Ochola–Wilson. Wanachama wa kamati hii ni wakurugenzi watatu wa kawaida na pia hukutana wakati inavyoona kuna haja. Wajibu wake ni kutoa mapendekezo kwa bodi kuhusu uteuzi wa wakurugenzi watendaji na wakurugenzi wa kawaida na kukadiria utaalumu, ujuzi na taaluma ambazo wakurugenzi hao huenda wakaleta kwenye bodi hiyo.

Corporate Governance

Mwongozo na Ushirikiano wa Umoja Kampuni



Kamati ya Kutoa Mikopo

Kamati hii inaongozwa na mkurugenzi wa kawaida Bw. F. M. Mbiru. Wanachama wake ni wakurugenzi wa kawaida wanne, Mkurugenzi mkuu na pia Mkurugenzi mtendaji. Kamati hii hukutana takribani mara moja kila mwezi ili kukadiria na kuidhinisha kiwango cha mikopo kinachoweza kutolewa na pia kufanya upya mipango iliyopo ya kutoa mikopo kuambatana na kiwango kilichowekwa na halmashauri.

Kamati ya Usimamizi

Mkurugenzi Mkuu ameunda kamati zifuatazo ambazo anaziongoza ili kumsaidia katika shuguli zake za usimamizi wa benki.

- Kamati Kuu
- Kamati ya usimamizi wa mali na madeni.
- Kamati ya mwongozo wa teknolojia ya habari
- Kamati ya kuhakikisha kuwa benki haipati hasara.
- Kamati ya kushugulikia maslahi ya wafanyikazi na uajiri.

Uhusiano na Wenye Hisa

Kampuni hii huchapisha hesabu za kila mwaka zikiwa zimekaguliwa na wakaguzi wa hesabu na kutumwa kwa kila mwenye hisa. Wenye hisa wa kampuni wana haki ya kuhudhuria mikutano mikuu ya kila mwaka na wao hupokea barua ya mwaliko ambayo hutumwa siku 21 kabla ya siku ya mkutano.

Kwa wenye hisa wetu, mlango wa kampuni, mlango msajili wa kampuni ama ule wa msajili wa Barclays Advisory u wazi na huwa tunajibu barua zao kuhusu maswala kadha wa kadha kila wakati.

Matokeo ya biashara za benki huchapishwa magazetini kila baada ya miezi mitatu kulingana na maagizo ya Benki Kuu ya Kenya. Pia matokeo hayo hupatikana kwenye mtandao wetu, www.nicbank.com Wenye hisa wote wana uhuru wa kuuliza maswali yoyote yanayohusu benki hii wakati wa mikutano mikuu ya kila mwaka. Pia wenye hisa wanaweza kukutana na wakurugenzi wa kampuni baada ya mikutano wa kila mwaka na kuwa na majadiliano.

Usimamizi wa Ndani wa Benki

Wakurugenzi wanaelewa wajibu wao kama ilivyoelezewa katika ukurasa wa 19 kuambatana na utaratibu wa ukaguzi wa hesabu wa benki hii na pia kuchukua hatua muafaka kuhakikisha kuwa sekta zote

za benki ziko imara. Hatua za usimamizi wa ndani za benki zimeundwa kuambatana na mahitaji ya benki na madhara ambayo huenda yakatokea na utaratibu ambao unanuiwa kuipa benki usimamizi muafaka wa kifedha.

Wakurugenzi Wenye Hisa

Hakuna mkurugenzi ambaye kibinafsi ana idhini ya kuwa na zaidi ya asilimia 1 ya hisa zote za benki.

Sera za Malipo

Benki hii imejitolea kuwalipa wafanyikazi wake malipo mazuri ambayo yananuiwa kuwavutia, kuwapa motisha na pia kuhakikisha kuwa benki hii ina wafanyikazi wa kiwango cha juu. Mishahara yao inaangaliwa upya kila mwaka ili kuhakikisha kuwa inaandamana na benki zingine na pia matarajio ya biashara za benki.

Wakurugenzi wa kawaida hulipwa malipo kila mwezi pamoja na marupurupu kila wanapohudhuria mkutano wa halmashauri. Wakurugenzi hao hawahitimu kupata pensheni na pia hawapati marupurupu ya faida.

Maandili

Benki hii hufuatilia maandili ya benki ambayo inawahitaji wafanyikazi wote kufanya kazi yao kwa nidhamu ya hali ya juu ili kulinda na kutunza haadhi ya kampuni. Kila baada ya miezi sita kila mfanyikazi anatakiwa kutia sahihi barua ya kuapa kuwa hatatoa nje siri za benki.

Wafanyikazi

Benki hii husisitiza haja ya majadiliano na ushirikiano wa wafanyikazi wote katika mambo muhimu kupitia kwa barua pepe, majarida ya wafanyikazi na mikutano ya wafanyikazi ambayo hufanyika kila baada ya miezi sita. Kuna kamati ya kupokea mapendekezo na mawazo kutoka kwa wafanyikazi ili kuimarisha benki kupitia kwa mawazo hayo.

Wafanyikazi wa benki hii hulipwa kwa kila wazo ambalo wamependekeza na likatekelezwa.

Notice of the Annual General Meeting



Tangazo la Mkutano Mkuu wa Mwaka

Notice is hereby given that the forty-fourth Annual General Meeting of the shareholders will be held at the Inter-Continental Hotel, Nairobi on Tuesday 18 May 2004, at 11.00am for the following purposes:

1. To receive and consider the Financial Statements for the year ended 31 December 2003 and the Directors' and Auditors' Reports thereon.
2. To confirm the payment of the interim dividend of 12% paid on 17 October 2003 and to approve the payment of a final dividend of 33% on the paid up capital of Sh 412,072,755.
3. To approve the payment of fees to the Directors for the year ended 31 December 2003.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorise the Directors to fix their remuneration.
5. To elect Directors:
 - i. In accordance with Article 89 of the Company's Articles of Association, J P M Ndegwa who was appointed to the Board since the last Annual General Meeting, retires from office and, being eligible, offers himself for re-election.
 - ii. In accordance with Articles 98,99 and 100 of the Company's Articles of Association, I Ochola Wilson retires by rotation and being eligible, offers herself for re-election.
 - iii. In accordance with Articles 98,99 and 100 of the Company's Articles of Association, M N Davidson retires by rotation and being eligible, offers himself for re-election.
 - iv. N Muriuki Mugwandia, who is over the age of 70 years, retires in accordance with Articles 98,99 and 100 of the Company's Articles of Association and, being over the age of 70 years and eligible for re-election by virtue of a Special Notice given pursuant to Section 186(5) of the Companies Act, the following resolution is proposed for consideration of the Shareholders:

"That N Muriuki Mugwandia, who is over the age of 70 years, be and is hereby re-elected a director of the company".

By Order of the Board
L Murage
Secretary
P. O. Box 44599 Nairobi.

31 March 2004

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report, must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting.

Notice of the Annual General Meeting

Tangazo la Mkutano Mkuu wa Mwaka



Inaarifiwa kwamba kikao cha arobaini na nne cha Mkutano Mkuu wa Mwaka wa wenyehisa utaandaliwa ukumbi wa Inter-Continental Hotel, Nairobi Jumanne tarehe 18 Mei 2004, saa tano asubuhi kwa madhumuni yafuatayo:

1. Kupokea na kukariri Taarifa za Fedha kwa mwaka uliomalizikia Desemba 31, 2003 na taarifa za Wakurugenzi na Wakaguzi hesabu zilizoko hapo.
2. Kuthibitisha malipo ya mgawo wa muda wa asilimia 12 uliolipwa tarehe 17 Oktoba 2003 na kuidhinisha malipo ya mgawo wa mwisho wa asilimia 33 kwenye rasilimali iliyolipiwa ya Sh 412,072,755.
3. Kuidhinisha marupurupu ya Wakurugenzi kwa mwaka uliomalizikia Desemba 31, 2003.
4. Kuthibitisha kwamba kampuni ya Deloitte & Touche wataendelea na wadhifa wa ukaguzi hesabu kwa jinsi ya Fungu la 159(2) la Kanuni za Makampuni (Sehemu ya 486) na Kibali cha Benki Kuu ya Kenya kuambatana na Fungu la 24(1) la Kanuni za Mabenki (Sehemu ya 488) na kuwaidhinisha Wakurugenzi kupanga marupurupu yao.
5. Kuwachagua Wakurugenzi
 - i. Kuambatana na Ibara ya 89 ya Sheria za Kushirikishwa Kampuni, JPM Ndegwa ambaye aliteuliwa kwenye Halmashauri tangu Mkutano Mkuu wa Mwaka jana, anastaafu na, kwa kuwa anastahili anajitolea kuchaguliwa tena.
 - ii. Kuambatana na Ibara za 98,99 na 100 ya Sheria za Kushirikishwa Kampuni, I Ochola-Wilson anastaafu kwa zamu na kwa kuwa anastahili, anajitolea kuchaguliwa tena.
 - iii. Kuambatana na Ibara za 98,99 na 100 ya Sheria za Kushirikishwa Kampuni, M N Davidson anastaafu kwa zamu na kwa kuwa anastahili, anajitolea kuchaguliwa tena.
 - iv. N Muriuki Mugwandia, ambaye ameuhitimu umri wa miaka 70, ajiuzulu kulingana na Ibara za 98,99 na 100 za Kushirikishwa Kampuni na kwa kuwa anastahili kulingana na Tangazo maalum ambayo imetelewa kuambatana na kifungu cha 186(5) ya Sheria za Makampuni, mshwada ufuatao wapendeza kwa wanahisa:

"Kwamba Bw. N Muriuki Mugwandia ambaye ameuhitimu umri wa miaka 70, awe na achaguliwa tena kama mkurugenzi wa Benki".

KWA AMRI YA HALMASHAURI

L Murage

Katibu

S.L.P. 44599, Nairobi

31 Machi 2004

Fahamu: Mwanachama anayestahili kuhudhuria na kupiga kura anaweza kumteua wakilishi wa kuhudhuria na kupiga kura kwa niaba yake. Si lazima wakilishi huyo awe mwanachama wa kampuni. Ili ikubaliwe, fomu ya uwakilishi iliyoko kwenye ripoti hii, ni lazima ipelekwe kwenye Afisi Iliyoandikishwa ya Kampuni sio chini ya masaa 24 kabla ya wakati uliopangiwa wa Mkutano.

Senior Officials

Maafisa Wakuu



LEFT TO RIGHT

Livingstone Murage
Githae Kiereini
Lucy Njoroge
Herman Gichira
Mike Swan
Patrick Mwaniki
James Wanyika
George Ooko
George Mwangi (absent)



LEFT TO RIGHT

Simon Karunditu
Violet Wasunna
Steve Caley
Sheesham Sethi
Peter Angwenyi
Sam Kanywuiro
Edna Kihara (absent)

Report of the Directors

Taarifa ya Wakurugenzi



The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2003.

ACTIVITIES

The principal activities of the bank, which is licensed under the Banking Act, are the provision of banking, financial and related services.

RESULTS

Sh'000

Profit before taxation	359,323
Taxation expense	116,709
Profit after taxation	242,614
Dividends	185,433
Retained profit for the year	57,181

DIVIDENDS

An interim dividend of Sh 0.60 per share amounting to Sh 49,449,000 was paid to shareholders on 17 October 2003.

The directors recommend a final dividend of Sh 1.65 per share amounting to Sh 135,984,000, which, together with the interim dividend, represents 45% on the issued share capital for the year ended 31 December 2003.

DIRECTORS

The present members of the Board of Directors are shown on page 3 and 4.

J P M Ndegwa was appointed a director on 19 November 2003.

In accordance with article 89 of the Articles of Association, J P M Ndegwa, who was appointed director on 19 November 2003, retires from office and, being eligible, offers himself for re-election.

In accordance with articles 98, 99 and 100 of the Articles of Association, N Muriuki Mugwandia, I Ochola-Wilson and M N Davidson retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

BY ORDER OF THE BOARD

L Murage
Secretary
Nairobi
24 February 2004

Report of the Directors

Taarifa ya Wakurugenzi

Wakurugenzi wana furaha ya kuwasilisha taarifa yao na ya hesabu zilizokaguliwa kwa mwaka uliomalizikia tarehe Desemba 31, 2003.

SHUGHULI

Shughuli muhimu za benki, ambayo imeidhinishwa chini ya Kanuni za Mabenki, ni utoaji huduma za kibenki, kifedha na mambo yanayohusiana.

MATOKEO

Sh '000

Mapato kabla ushuru	359,323
Ushuru	116,709

Faida baada ushuru	242,614
Mgawo	185,433

Faida iliyohifadhiwa kwa mwaka	57,181
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MGAWO

Mgawo wa muda wa Sh 0.60 kwa hisa ukijumlisha Sh 49,449,000 ulilipwa wenyehisa tarehe 17 Oktoba, 2003.

Wakurugenzi wanapendekeza mgawo wa mwisho wa Sh 1.65 kwa hisa, ukijumlisha Sh 135,984,000 ambao pamoja na mgawo wa muda, unawasilisha asilimia 45 kwenye rasilimali ya hisa zilizotolewa kwa mwaka ulioishia Desemba 31, 2003.

WAKURUGENZI

Wanachama wa sasa wa Halmashauri ya Wakurugenzi wameonyeshwa kwenye ukurasa wa 3 na 4.

J P M Ndegwa aliteuliwa kama mkurugenzi 19 Novemba, 2003

Kuambatana na Ibara 89 ya sheria za ushirikishaji, J P M Ndegwa aliochaguliwa kama mkurugenzi tarehe 19 Novemba, 2003 anastaafu na, kwa sababu afaa, amekubali kujirikiwa kuchaguliwa kama mkurugenzi.

Kuambatana na Ibara ya 98, 99 and 100 ya Sheria za Ushirikishwaji, N Muriuki Mugwandia, I Ochola-Wilson and M N Davidson wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena.

WAKAGUZI HESABU

Deloitte Et Touche wataendelea na wadhifa kuambatana na Sehemu ya 159 (2) ya Kanuni za Makampuni na kwa sharti ya Sehemu ya 24 (1) ya Kanuni za Mabenki.

KWA AMRI YA HALMASHAURI

L Murage
Katibu
Nairobi
24 Februari 2004

Statement of Directors' Responsibilities

Taarifa ya Mamlaka ya Wakurugenzi



The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the bank as at the end of the financial year and of the operating results of the bank for that year. It also requires the directors to ensure the bank keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the bank. They are also responsible for safeguarding the assets of the bank.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in

conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank will not remain a going concern for at least the next twelve months from the date of this statement.

Director N Muriuki Mugwandia

Director M N Davidson

24 February 2004

Sheria ya makampuni inawahitaji wakurugenzi kuzitayarisha taarifa za hesabu ya fedha kila mwaka, zinazoonyesha hali kamili ya mambo katika benki kila mwisho wa mwaka. Sheria hii pia inahitaji wakurugenzi kuhakikisha kwamba benki inaweka rekodi mwafaka na zinazoonyesha hali ilivyo katika benki kila wakati. Wanawajibika pia kuilinda mali ya benki.

Wakurugenzi wanayakubali mamlaka kwa kila taarifa ya hesabu yoyote ya kila mwaka, ambayo imeandaliwa kulingana na maongozi na mbinu ya kihesabu zilizowekwa na zinazoambatana na kanuni za kimataifa za hesabu, na mahitaji ya Sheria ya

Makampuni. Kulingana na maoni ya wakurugenzi, taarifa za hesabu ya fedha zinapatiana picha iliyo sawa kuhusiana na hali ya benki na matokeo ya vile inavyoendeshwa. Wakurugenzi pia wamekubali wajibu wa kuzihifadhi rekodi hizi za akaunti ambazo zinaweza kutumiwa katika kuandaa taarifa za makidirio ya fedha, na pia njia sawa za kuhakikisha usimamizi bora wa kindani wa fedha.

Kulingana na wakurugenzi hakuna tashwishi yoyote kuonyesha kuwa hali ya benki sio barabara kwa kipindi cha miezi mikumi na mbili ijayo kutokea tarehe ya taarifa hii.

Mwenyekiti N Muriuki Mugwandia

Mkurugenzi Mkuu M N Davidson

24 Februari 2004

Independent Auditor's Report



to the members of National Industrial Credit Bank Limited

Taarifa ya Wakaguzi

Certified Public Accountants (Kenya)
"Kirungii"
Ring Road, Westlands
P O Box 40092
Nairobi - 00100 GPO
Kenya

Telephone: +(254-20) 444 1344/05-12
Facsimile: +(254-20) 444 8966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke

**Deloitte
& Touche**

We have audited the financial statements on pages 22 to 53 for the year ended 31 December 2003 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 19, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept by the bank and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the bank at 31 December 2003 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenya Companies Act.

Deloitte & Touche
24 February 2004

**Deloitte
Touche
Tohmatsu**

Partners: D.M. Ndonye H. Gadhoke* D.C. Hodges* J.M. Kiarie S.O. Onyango J.W. Wangai
* British

Independent Auditor's Report

to the members of National Industrial Credit Bank Limited

Taarifa ya Wakaguzi

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**Deloitte
& Touche**

Tumezikagua Taarifa za Hesabu kwenye kurasa za 22 hadi 53 na kuyapata maelezo yote na ufafanuzi ambao, kwa kadiri ya maarifa na kuamini kwetu, yalikuwa muhimu kwa minaajil ya ukaguzi wetu.

Mamlaka binafsi ya wakurugenzi na wakaguzi

Kama ilivyoelezewa kwenye ukurasa wa 19, Taarifa za Fedha ni wajibu wa wakurugenzi. Wajibu wetu ni kutoa maoni yetu juu ya Taarifa za Fedha kutokana na ukaguzi wetu.

Msingi wa maoni

Tuliutekeleza ukaguzi wetu kuambatana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivi vinatuhitaji tupange na kutekeleza ukaguzi ili tupate thibitisho linalofaa kwamba Taarifa zenyewe hazina upotofu wowote. Ukaguzi ni pamoja na uchunguzi, kwa misingi ya majaribio, ushahidi unaounga mkono kiasi cha pesa na ufichuo kwenye Taarifa za Fedha, makadirio ya maadili ya uhasibu yaliyotumika na makisio muhimu yaliyofanywa na wakurugenzi, na utathmini jumla wa uwasilishaji wa Taarifa za Fedha. Tunaamini kwamba ukaguzi wetu unatoa msingi wa maoni yetu usio na shaka.

Maoni

Kwa maoni yetu, vitabu sahihi vya uhasibu viliwekwa na Kampuni na Taarifa za Fedha, ambazo zinakubaliana navyo, zinatoa mandhari halisi ya shughuli za Benki kufikia tarehe 31 Desemba 2003 na za Faida na Pesa Taslimu kwa mwaka uliomalizikia tarehe hiyo, na zinakubaliana na Viwango vya Kimataifa vya Uhasibu na Sheria za Kenya za Makampuni.

Deloitte & Touche
24 Februari 2004

**Deloitte
Touche
Tohmatsu**

Partners: D.M. Ndonye H. Gadhoke* D.C. Hodges* J.M. Kiarie S.O. Onyango J.W. Wangai
* British

Maandishi yaliyopo hapo juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenyekwa wa National Industrial Credit Bank Limited" inayoonekana kwenye ukurasa wa 20 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Independent Auditor's Report to the members of National Industrial Credit Bank Limited" which appears on page 20 of this report. In the event of any dispute over the interpretation of the Independent Auditor's Report, the English version shall be the authoritative version.

Income Statement

for the year ended 31 December 2003

		2003	2002
	Note	Shs'000	Shs'000
INTEREST INCOME	4	980,038	980,606
INTEREST EXPENSE	5	(202,452)	(286,724)
NET INTEREST INCOME		777,586	693,882
Fees and commission income		87,380	66,770
Foreign exchange trading income		28,349	19,634
Other operating income	6	51,194	51,208
OPERATING INCOME		944,509	831,494
Operating expenses	7	(469,660)	(402,996)
Exceptional costs	9	(58,316)	-
Bad and doubtful debts expense	17	(57,210)	(88,274)
PROFIT BEFORE TAXATION		359,323	340,224
TAXATION EXPENSE	10	(116,709)	(111,089)
NET PROFIT FOR THE YEAR		242,614	229,135
		Sh	Sh
EARNINGS PER SHARE			
Basic	11	2.94	2.78
Diluted	11	2.94	2.78
DIVIDENDS PER SHARE	12	2.25	2.00

Balance Sheet

31 December 2003

	Note	2003 Sh'000	2002 Sh'000
ASSETS			
Cash and balances with Central Bank of Kenya	13	688,098	742,169
Government securities	14	1,972,145	2,387,374
Deposits and balances due from banking institutions	15	704,134	881,135
Advances to customers	16	6,896,158	4,712,576
Other assets	18	257,292	119,560
Investment in subsidiary companies	19	50,501	50,501
Property and equipment	20	403,801	367,986
Operating lease prepayments	21	8,500	8,625
Intangible assets	22	55,627	59,356
TOTAL ASSETS		11,036,256	9,329,282
LIABILITIES			
Customer deposits	23	7,951,236	6,493,244
Other liabilities	24	295,859	149,935
Line of credit	25	67,165	92,604
Balances due to banking institutions	26	53,165	-
Taxation payable		6,933	5,818
Unclaimed dividends		23,257	19,105
Due to subsidiary company	19	46,345	46,991
Deferred tax liability	27	16,136	23,210
TOTAL LIABILITIES		8,460,096	6,830,907
CAPITAL RESOURCES			
Share capital	28	412,073	412,073
Share premium		299,943	299,943
Revaluation surplus		140,750	139,467
Revenue reserves		1,587,410	1,531,512
Proposed dividend		135,984	115,380
SHAREHOLDERS' FUNDS		2,576,160	2,498,375
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		11,036,256	9,329,282

The financial statements on pages 22 to 53 were approved by the board of directors on 24 February 2004 and were signed on its behalf by:

Directors: N Muriuki Mugwandia
M N Davidson
F N Mwanzia
Secretary: L Murage

Statement of Changes in Equity

for the year ended 31 December 2003

	Share capital	Share premium	Revaluation surplus	Revenue reserves	Proposed dividend	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
At 1 January 2002	412,073	299,943	138,184	1,468,489	82,414	2,401,103
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	229,135	-	229,135
Dividends:						
-final for 2001 declared	-	-	-	-	(82,414)	(82,414)
-interim for 2002 declared	-	-	-	(49,449)	-	(49,449)
-proposed final dividend 2002	-	-	-	(115,380)	115,380	-
At 31 December 2002	<u>412,073</u>	<u>299,943</u>	<u>139,467</u>	<u>1,531,512</u>	<u>115,380</u>	<u>2,498,375</u>
At 1 January 2003	412,073	299,943	139,467	1,531,512	115,380	2,498,375
Deferred tax on excess depreciation	-	-	1,283	(1,283)	-	-
Net profit for the year	-	-	-	242,614	-	242,614
Dividends:						
-final for 2002 declared	-	-	-	-	(115,380)	(115,380)
-interim for 2003 declared	-	-	-	(49,449)	-	(49,449)
-proposed final for 2003	-	-	-	(135,984)	135,984	-
At 31 December 2003	<u>412,073</u>	<u>299,943</u>	<u>140,750</u>	<u>1,587,410</u>	<u>135,984</u>	<u>2,576,160</u>

Cash Flow Statement

for the year ended 31 December 2003



	Note	2003 Sh'000	2002 Sh'000
OPERATING ACTIVITIES			
Cash (used in)/generated from operations	29(a)	(228,594)	59,002
Taxation paid		(122,668)	(114,078)
Net cash used in operating activities		(351,262)	(55,076)
INVESTING ACTIVITIES			
Purchase of property and equipment		(75,432)	(22,331)
Purchase of intangible assets		(11,420)	(52,370)
Proceeds on sale of equipment		787	3,150
Net cash used in investing activities		(86,065)	(71,551)
FINANCING ACTIVITIES			
Dividends paid		(160,677)	(129,012)
Net cash used in financing activities		(160,677)	(129,012)
NET DECREASE IN CASH AND CASH EQUIVALENTS		(598,004)	(255,639)
CASH AND CASH EQUIVALENTS AT 1 JANUARY		2,801,772	3,057,411
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	29(b)	2,203,768	2,801,772

Notes to the Financial Statements

 for the year ended 31 December 2003

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year and are set out below.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain properties and financial instruments.

Revenue recognition

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Fees and commission income are recognised at the time of effecting the transactions.

Investment in subsidiary companies

The results of the subsidiary companies have not been consolidated because, in the directors' opinion, consolidation of these subsidiaries would be of no real value to the members in view of the insignificant amounts involved.

Investment in subsidiary companies (details of which are disclosed in note 19) is, therefore, stated at cost less impairment loss where applicable.

Property and equipment

Property and equipment are stated at cost or as professionally revalued from time to time less accumulated depreciation.

Depreciation is calculated on a straight line basis at annual rates estimated to write off the cost or valuation of property and equipment over their expected useful lives, on the following bases:

Buildings on long leasehold land	2%
Furniture, fittings and equipment	20%
Motor vehicles	20%

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Intangible assets-computer software development costs

Generally, costs associated with developing computer software programmes are recognised as an expense in the period in which they are incurred. However, costs that are clearly associated with an identifiable and unique product which will be controlled by the bank and has a probable benefit exceeding the cost beyond one year, are recognised as an intangible asset.

Notes to the Financial Statements (continued)

1 ACCOUNTING POLICIES (Continued)

Intangible assets-computer software development costs (Continued)

Expenditure which enhances and extends computer software programmes beyond their original specifications and lives is recognised as a capital improvement and added to the original cost of the software.

Computer software development costs recognised as assets are stated at cost less amortisation. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

Impairment

At each balance sheet date, the bank reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Foreign currencies

Assets and liabilities in foreign currencies are translated into Kenya shillings at rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are translated at rates ruling at the dates of the transactions. The resulting exchange differences are dealt with in the income statement.

Retirement benefit costs

The bank's contributions in respect of retirement benefit costs are charged to the income statement in the year to which they relate.

The bank operates a defined benefit staff pension and life assurance scheme for employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is non contributory and the rate of the bank's contribution is determined by the trustees who take into account the recommendations of independent actuaries. Benefits are paid to retiring staff in accordance with the scheme rules.

Notes to the Financial Statements (continued)



1 ACCOUNTING POLICIES (Continued)

Retirement benefit costs (continued)

The cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out at each balance sheet date. Actuarial gains and losses which exceed 10 per cent of the greater of the present value of the Company's pension obligations and the fair value of plan assets are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, otherwise is amortised on a straight-line basis over the average period until the amended benefits become vested.

The amount recognised in the balance sheet represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

The bank also makes contributions to National Social Security Fund, a statutory defined contribution pension scheme. The bank's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee.

Financial instruments

Financial assets and liabilities are initially recognised on the company's balance sheet at cost using settlement date accounting, when the company has become a party to the contractual provisions of the instrument.

Loans and receivables originated by the company and not held for trading

Loans and receivables including advances originated by the bank and held to maturity are measured at amortised cost.

Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity where the company has the positive intent and ability to hold to maturity other than loans and receivables originated by the bank are measured at amortised cost.

Financial assets held for trading

Financial assets acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin are measured at their fair values.

Available-for-sale financial assets

Financial assets that are not (a) loans and receivables originated by the company, (b) held-to-maturity investments, or (c) financial assets held for trading are measured at their fair values.

Notes to the Financial Statements (continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments

Derivative financial instruments

Derivative financial instruments are initially recorded at cost, if any, and are remeasured to fair value at subsequent reporting dates.

Changes in the fair value of derivative financial instruments that do not qualify for hedge accounting are recognised in the income statement as they arise.

Impairment and uncollectability of financial assets

At each balance sheet date, all financial assets are subject to review for impairment.

If it is probable that the company will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The amount of the loss is the difference between the asset's carrying amount and the present value of expected future cash flows discounted at the financial instrument's original effective interest rate (recoverable amount). The carrying amount of the asset is reduced to its estimated recoverable amount through use of the provision for bad and doubtful debts account. The amount of the loss incurred is included in income statement for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised directly in equity is removed from equity and recognised in the income statement for the period even though the financial asset has not been derecognised.

Financial liabilities

After initial recognition, the company measures all financial liabilities including customer deposits other than liabilities held for trading at amortised cost. Liabilities held for trading (financial liabilities acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin) are subsequently measured at their fair values.

Leasing

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

The bank as lessor

Amounts due from lessees under finance leases are recorded as receivables at the amount of the Bank's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the Bank's net investment outstanding in respect of the leases.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

Notes to the Financial Statements (continued)



1 ACCOUNTING POLICIES (Continued)

Leasing (Continued)

The Bank as lessee

Assets held under finance leases are recognised as assets of the Bank at their fair value at the date of acquisition. The corresponding liability to the lessor is included in the balance sheet as a finance lease obligation. Finance costs, which represent the difference between the total leasing commitments and the fair value of the assets acquired, are charged to the income statement over the term of the relevant lease so as to produce a constant periodic rate of charge on the remaining balance of the obligations for each accounting period.

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet this obligations in the event of the customer's default. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

Fiduciary activities

Assets and income arising thereon together with related undertakings to return such assets to customers are excluded from these financial statements where the bank acts in a fiduciary capacity such as nominee, trustee or agent.

2 CENTRAL BANK OF KENYA (AMENDMENT) ACT 2000

During 2001, the Kenya Bankers' Association (KBA), on behalf of its members, filed an application in the Constitutional Court of Kenya challenging the legality of the Central Bank of Kenya (Amendment) Act 2000 (The Act), which had been passed by the Parliament with an effective date of 1 January 2001.

The court delivered its judgement on 24 January 2002 and ruled that The Act is retrospective and therefore inconsistent with the Constitution of Kenya. Following the ruling, various conflicting legal interpretations have been published.

The directors have taken legal advice in conjunction with KBA which confirms that The Act is not operational for the financial year 2003. Accordingly, the directors have prepared these financial statements on the basis of this advice.

Notes to the Financial Statements (continued)

3 SEGMENTAL REPORTING

The major part of the business of the bank falls under the category of banking with other income comprising less than 5% of total income. Segmental reporting is, therefore, not considered of any useful value.

	2003 Sh'000	2002 Sh'000
4 INTEREST INCOME		
Finance leases	445,248	381,584
Loans and advances	340,341	360,526
Government securities	176,167	206,863
Short term deposits	6,458	16,208
Corporate bonds	11,824	15,425
	<u>980,038</u>	<u>980,606</u>
5 INTEREST EXPENSE		
Customer deposits	197,069	277,111
Line of credit	3,907	6,692
Deposits by banks	1,476	2,921
	<u>202,452</u>	<u>286,724</u>
6 OTHER OPERATING INCOME		
Rental income	21,702	28,075
Bad debts recovered	2,739	5,737
Custody services	7,406	4,194
Miscellaneous income	19,347	13,202
	<u>51,194</u>	<u>51,208</u>
7 OPERATING EXPENSES		
Staff costs (note 8)	200,313	172,220
Contribution to Deposit Protection Fund	8,090	6,532
Depreciation	39,362	39,750
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	15,149	6,450
Directors' emoluments - Fees	2,100	1,850
- Other	33,259	20,173
Pension to past chairman	-	1,158
Auditors' remuneration	1,680	1,600
Operating lease rentals	5,257	4,495
Other expenses	164,325	143,943
Write off of intangible assets	-	4,700
	<u>469,660</u>	<u>402,996</u>

Notes to the Financial Statements (continued)

8 STAFF COSTS

	2003 Sh'000	2002 Sh'000
Salaries and allowances	179,997	153,917
Staff training	4,836	2,851
Pension contributions	-	2,864
Gratuity provision	6,156	9,276
NSSF contributions	305	299
Leave pay provision	1,860	-
Medical expenses	7,159	3,013
	<u>200,313</u>	<u>172,220</u>

The number of employees at 31 December 2003 was 149 (2002 - 125).

9 EXCEPTIONAL COSTS

These relate to marketing and operational costs incurred during the year to help the bank achieve its strategic growth plans in customer base and profitability within the next five to seven years.

Although this expense arose from the ordinary activities of the bank, the expense has been disclosed separately due to its nature and the amount involved, to assist users of financial statements in proper understanding of the current year's financial performance.

10 TAXATION

	2003 Sh'000	2002 Sh'000
(a) Taxation expense		
Income tax based on the taxable profit for the year at 30%	123,783	118,469
Deferred taxation credit for the year	(8,306)	(7,380)
Prior year under provision	1,232	-
Deferred taxation credit (note 27)	(7,074)	(7,380)
	<u>116,709</u>	<u>111,089</u>
(b) Reconciliation of tax expense to the expected tax based on accounting profit		
Accounting profit before taxation	359,323	340,224
Tax at the applicable rate of 30%	107,797	102,067
Tax effect of expenses not deductible for tax	7,832	9,084
Tax effect of income not subject to tax	(152)	(62)
Prior year deferred tax under provision	1,232	-
	<u>116,709</u>	<u>111,089</u>

Notes to the Financial Statements (continued)

11 EARNINGS PER SHARE

Earnings per share is calculated based on the profit after taxation of Sh 242,614,000 (2002 - Sh 229,135,000) and 82,414,551 shares (2002 - 82,414,551) ordinary shares in issue during the year.

The diluted earnings per share is the same as the basic earnings per share.

12 DIVIDENDS

During the year an interim dividend of Sh 0.60 per share amounting to a total of Sh 49,449,000 (2002 - Sh 49,449,000) was declared. The total dividend for the year is therefore, Sh 2.25 per share (2002 - Sh 2.0 per share) amounting to a total of Sh 185,433,000 (2002 - Sh 164,829,000).

At the annual general meeting scheduled for 18 May 2004, a final dividend in respect of 2003 of Sh 1.65 per share (2002 - Sh 1.40 per share) amounting to a total of Sh 135,984,000 (2002 - Sh 115,380,000) is to be proposed. The proposed amount has been provided for in accordance with International Accounting Standard No. 10.

Payment of dividends to members with shareholding below 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

13 CASH AND BALANCES WITH CENTRAL BANK OF KENYA

	2003 Sh'000	2002 Sh'000
Cash on hand	90,665	38,287
Balances with Central Bank of Kenya		
- Cash ratio requirement	412,098	495,236
- Other (available for use by the company)	185,335	208,646
	<u>688,098</u>	<u>742,169</u>

The cash ratio requirement is based on the customer deposits with the company as adjusted by the Central Bank of Kenya requirements. These funds are not available for the day to day operations of the company.

Notes to the Financial Statements (continued)

14 GOVERNMENT SECURITIES

(a) Treasury bills

Maturing within 90 days of the balance sheet date

	2003 Sh'000	2002 Sh'000
Face value	1,277,900	1,689,400
Less: Unearned discount	(1,101)	(15,696)
	<u>1,276,799</u>	<u>1,673,704</u>

(b) Treasury bonds - *held to maturity*

At cost		
- maturing after 1 year	393,100	469,200
- maturing after 2 years	140,000	230,800
- maturing after 3 years	150,000	-
Interest receivable	12,246	13,670
	<u>695,346</u>	<u>713,670</u>
	<u>1,972,145</u>	<u>2,387,374</u>

The weighted average effective interest rate on treasury bills at 31 December 2003 was 1.75% (2002 - 8.4%) and the rate for treasury bonds was 7.25% (2002 - 11.3%).

15 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

Maturing within 90 days of the balance sheet date

	2003 Sh'000	2002 Sh'000
Balances due from banking institutions	630,539	414,348
Deposits due from banking institutions	73,595	466,787
	<u>704,134</u>	<u>881,135</u>

The weighted average effective interest rate for deposits due from banking institutions at 31 December 2003 was 1.4% (2002 - 8.6%) and nil for balances with banking institutions.

Notes to the Financial Statements (continued)

	2003 Sh'000	2002 Sh'000
16 ADVANCES TO CUSTOMERS		
(a) Finance lease receivables (Note 16(e))	3,633,370	2,636,189
Loans and advances to customers	4,264,047	2,793,079
	<u>7,897,417</u>	<u>5,429,268</u>
Commercial paper (Note 16(b))	-	84,438
Corporate bonds (Note 16(c))	175,255	207,935
	<u>8,072,672</u>	<u>5,721,641</u>
Unearned finance charges	(444,012)	(332,776)
Provision for bad and doubtful debts (Note 17)	(732,502)	(676,289)
	<u>6,896,158</u>	<u>4,712,576</u>
(b) Commercial paper		
Due 6 February, 2003 (US \$ 750,000)	-	57,750
Due 18 February, 2003 (US \$ 350,000)	-	26,950
Less: Unearned discount	-	(262)
	<u>-</u>	<u>84,438</u>
(c) Corporate bonds		
Floating rate note due 2007	100,000	100,000
Floating rate note due 2006	75,000	105,000
Interest receivable	255	2,935
	<u>175,255</u>	<u>207,935</u>

The weighted average effective interest rate on advances to customers as at 31 December 2003 was 13% (2002 - 17.5%).

The weighted average effective interest rate on commercial paper at 31 December 2003 was nil (2002 - 3.0%).

The weighted average effective interest rate on corporate bonds at 31 December 2003 was 2.5% (2002 - 9.2%).

The interest rate on loans and advances to customers are either pegged to the bank's base lending rate or the treasury bill rate. The interest rates, therefore, fluctuate depending on the movement in the market interest rates.

Included in net advances of Sh 6,896,115,000 (2002 - Sh 4,712,576,000) are loans and advances amounting to Sh 133,512,000 (2002 - Sh 346,209,000), net of specific provisions, which have been classified as non-performing.

Notes to the Financial Statements (continued)

16 ADVANCES TO CUSTOMERS (continued)

(d) Analysis of gross advances by maturity:

	2003 Sh'000	2002 Sh'000
Maturing within one year	3,682,659	2,197,700
Over one year to three years	3,178,195	2,008,307
Over three years	1,036,563	1,223,261
	<u>7,897,417</u>	<u>5,429,268</u>

(e) Finance lease receivables

	Minimum lease payments		Present value of minimum lease payments	
	2003 Sh'000	2002 Sh'000	2003 Sh'000	2002 Sh'000
Amounts receivable under finance leases:				
Within one year	920,716	1,907,366	823,481	1,834,491
In the second to fifth years inclusive	2,712,654	728,823	2,365,877	468,922
	<u>3,633,370</u>	<u>2,636,189</u>	<u>3,189,358</u>	<u>2,303,413</u>
Less: unearned finance income	<u>(444,012)</u>	<u>(332,776)</u>	<u>-</u>	<u>-</u>
Present value of minimum lease payments receivable	<u>3,189,358</u>	<u>2,303,413</u>	<u>3,189,358</u>	<u>2,303,413</u>

The company enters into finance leasing arrangements for certain plant, equipment and motor vehicles. The average term of finance leases entered into is 3 years.

Unguaranteed residual values of assets leased under finance leases are estimated at nil (2002:nil).

The interest rate inherent in the leases is variable at the contract date for all of the lease term. The weighted average interest rate on finance lease receivables at 31 December 2003 was 15% (2002-18.7%).

The related party transactions and balances are covered under note 34 and concentrations of advances to customers is covered under note 32.

Notes to the Financial Statements (continued)

17 PROVISION FOR BAD AND DOUBTFUL DEBTS

	Specific provision Sh'000	General provision Sh'000	2003 Total Sh'000	2002 Total Sh'000
At 1 January	600,369	75,920	676,289	596,404
Provisions in the year	26,433	30,777	57,210	88,274
Written off	(997)	-	(997)	(8,389)
At 31 December	<u>625,805</u>	<u>106,697</u>	<u>732,502</u>	<u>676,289</u>

18 OTHER ASSETS

	2003 Sh'000	2002 Sh'000
Clearing account	129,279	63,502
Prepayments	9,151	7,376
Other receivables	118,862	48,682
	<u>257,292</u>	<u>119,560</u>

19 INVESTMENT IN SUBSIDIARY COMPANIES

National Industrial Credit Trustees Limited (100% shareholding) - at cost	500	500
Mercantile Finance Company Limited (100% shareholding) - at net asset value	50,000	50,000
The African Mercantile Banking Company Limited (100% shareholding) - at net asset value	1	1
	<u>50,501</u>	<u>50,501</u>

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2002 - Sh nil), and the revenue reserve balance was Sh nil (2002 - Sh nil).

Mercantile Finance Company Limited did not trade during the year. Its activities are limited to the recovery of its non performing debts. The net investment in this subsidiary is Sh 3,655,000. Sh 50,000,000 is included in investment in subsidiary companies while Sh 46,345,000 (2002 Sh -46,991,000) is accounted for in the balance sheet as due to subsidiary company.

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2003. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Sh nil (2002 - Sh nil).

The results of the subsidiary companies have not been consolidated because, in the directors' opinion, consolidation of these subsidiaries would be of no real value to the members in view of the insignificant amounts involved.

Notes to the Financial Statements (continued)

20 PROPERTY AND EQUIPMENT

	Buildings	Furniture, fittings and equipment	Motor vehicles	Total
	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION				
At 1 January 2003	299,608	182,196	27,259	509,063
Additions	-	66,760	8,672	75,432
Disposals	-	(1,469)	(2,325)	(3,794)
At 31 December 2003	299,608	247,487	33,606	580,701
Comprising:				
Cost	-	247,487	33,606	281,093
Valuation - 2002	299,608	-	-	299,608
At 31 December 2003	299,608	247,487	33,606	580,701
DEPRECIATION				
At 1 January 2003	7,272	118,426	15,379	141,077
Charge for the year	7,271	27,310	4,781	39,362
Eliminated on disposals	-	(1,214)	(2,325)	(3,539)
At 31 December 2003	14,543	144,522	17,835	176,900
NET BOOK VALUE				
At 31 December 2003	285,065	102,965	15,771	403,801
At 31 December 2002	292,336	63,770	11,880	367,986

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Sh 61,414,272 (2002 - Sh 51,096,261) which were fully depreciated. The normal depreciation charge on these assets would have been Sh 12,491,159 (2002 - Sh 10,325,923).

Buildings were revalued as at 31 December 2002 by Lloyd Masika Limited, Registered Valuers, on an open market value basis.

At 31 December 2003, the net book value of buildings based on original cost was Sh 122,569,000 (2002 - Sh 125,564,000).

Notes to the Financial Statements (continued)

21 OPERATING LEASE PREPAYMENTS

	Sh'000
COST	
At 1 January 2003	10,000
AMORTISATION	
At 1 January 2003	1,375
Amortisation for the year	125
At 31 December 2003	1,500
NET BOOK VALUE	
At 31 December 2003	8,500
At 31 December 2002	8,625

22 INTANGIBLE ASSETS

	Computer software Sh'000
COST	
At 1 January 2003	66,350
Additions	11,420
At 31 December 2003	77,770
AMORTISATION	
At 1 January 2003	6,994
Charge for the year	15,149
At 31 December 2003	22,143
NET BOOK VALUE	
At 31 December 2003	55,627
At 31 December 2002	59,356

Notes to the Financial Statements (continued)



23 CUSTOMER DEPOSITS

	2003 Sh'000	2002 Sh'000
Current accounts	1,549,763	959,921
Savings accounts	1,161,786	657,900
Call deposits	173,226	407,641
Fixed deposits	5,066,461	4,467,782
	<u>7,951,236</u>	<u>6,493,244</u>

Analysis of customer deposits by maturity:

Payable within 90 days	7,588,715	6,369,493
Payable after 90 days and within one year	361,077	122,347
Payable after one year	1,444	1,404
	<u>7,951,236</u>	<u>6,493,244</u>

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2003 was 1.8% (2002 - 6.1%).

The related party transactions and balances are covered under note 34 and concentrations of customer deposits is covered under note 32.

24 OTHER LIABILITIES

	2003 Sh'000	2002 Sh'000
Bills payable	206,926	111,168
Sundry creditors	37,553	12,926
Other payables and accruals	51,380	25,841
	<u>295,859</u>	<u>149,935</u>

25 LINE OF CREDIT

The bank has an unsecured revolving medium term line of credit of US\$ 10,000,000 with Agence Francaise De Development/PROPARCO for on-lending to customers. As at 31 December 2003, the draw down was US\$ 880,000 (2002 - US\$ 1,200,000).

	2003 Sh'000	2002 Sh'000
Maturity		
Payable within one year	24,528	24,844
Payable after one year and within three years	42,637	49,280
Payable after three years	-	18,480
	<u>67,165</u>	<u>92,604</u>

The weighted average effective interest rate on the line of credit at 31 December 2003 was 3.2% (2002 - 3.4%).

Notes to the Financial Statements (continued)

26 BALANCES DUE TO BANKING INSTITUTIONS

The weighted average effective interest rate for balances due to banking institutions at 31 December 2003 was 1.25% (2002 – nil). All mature within 90 days of the balance sheet date.

	2003 Sh'000	2002 Sh'000
27 DEFERRED TAX LIABILITY		
The net deferred tax liability, computed at the enacted rate of 30%, is attributable to the following items:		
Asset:		
Excess depreciation over capital allowances	(46)	(4,046)
General provision for bad and doubtful loans and advances	(32,009)	(22,776)
Leave pay provision	(558)	-
	<u>(32,613)</u>	<u>(26,822)</u>
Liability:		
Revaluation surplus	48,749	50,032
	<u>16,136</u>	<u>23,210</u>
Movement in deferred tax liability is as follows:		
At 1 January	23,210	30,590
Income statement credit – Note 10 (a)	(7,074)	(7,380)
At 31 December	<u>16,136</u>	<u>23,210</u>

28 SHARE CAPITAL

Authorised, issued and fully paid 82,414,551 ordinary shares of Sh 5 each	<u>412,073</u>	<u>412,073</u>
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There were no movements in the share capital of the Company in either the 2003 or 2002 reporting periods.

The Company has one class of ordinary shares which carry no right to fixed income.

Notes to the Financial Statements (continued)



29 NOTES TO THE CASH FLOW STATEMENT

(a) Reconciliation of profit before taxation to cash generated from operations

	2003 Sh'000	2002 Sh'000
Profit before taxation	359,323	340,224
Adjustments for:		
Depreciation	39,362	39,750
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	15,149	6,450
Profit on sale of equipment	(532)	(311)
Write off of intangible assets	-	4,700
Profit before working capital changes	413,427	390,938
Decrease/(increase) in balances with Central Bank of Kenya (cash ratio requirement)	83,138	(103,592)
Increase in advances to customers	(2,183,582)	(465,808)
Decrease/(increase) in treasury bonds	18,324	(612,757)
(Increase)/decrease in other assets	(137,732)	14,168
Increase in customer deposits	1,457,992	893,425
Increase in other liabilities	145,924	22,990
Decrease in line of credit	(25,439)	(79,723)
Decrease in amount due to subsidiary	(646)	(639)
Cash (used in) /generated from operations	(228,594)	59,002

(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes

Cash on hand	90,665	38,287
Balance with Central Bank of Kenya - other	185,335	208,646
Treasury bills	1,276,799	1,673,704
Deposits and balances due from banking institutions	704,134	881,135
Balances due to banking institutions	(53,165)	-
	2,203,768	2,801,772

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

Notes to the Financial Statements (continued)



30 CONTINGENCIES AND COMMITMENTS INCLUDING OFF BALANCE SHEET ITEMS

	2003 Sh'000	2002 Sh'000
(a) Contingent liabilities		
Letters of credit	694,863	139,861
Letters of guarantee and performance bonds	562,393	367,197
Foreign exchange forward contracts	925,940	45,413
	<u>2,183,196</u>	<u>552,471</u>

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers.

Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

Concentrations of contingent liabilities is covered under note 32.

	2003 Sh'000	2002 Sh'000
(b) Capital commitments		
Authorised but not contracted for	10,000	4,600
Authorised and contracted for	<u>87,337</u>	<u>30,000</u>

The bank has authorised and contracted refurbishment of additional Move Zones and purchase and installation of Automatic Teller Machines (ATMs) which is part of the on going move product expansion.

The bank has also authorised and contracted for the renovation of the NIC House.

(c) Commitments to extend credit

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation to extend credit by giving reasonable notice to the customer.

Notes to the Financial Statements (continued)



(d) Operating lease arrangements

The bank as a lessor

Rental income earned during the year was Sh 21,702,000 (2002 - Sh 28,075,000). At the balance sheet date, the bank had contracted with tenants for the following future lease receivables:

	2003 Sh'000	2002 Sh'000
Within one year	16,829	23,911
In the second to fifth year inclusive	56,321	95,643
After five years	11,986	23,911
	<u>85,136</u>	<u>143,465</u>

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

The bank as a lessee

At the balance sheet date, the bank had outstanding commitments under operating leases which fall due as follows:

	2003 Sh'000	2002 Sh'000
Within one year	11,908	4,812
In the second to fifth year inclusive	43,449	19,248
After five years	5,324	4,812
	<u>60,681</u>	<u>28,872</u>

Operating lease payments represent rentals payable by the bank for its office premises. Leases are negotiated for an average term of 6 years.

31 DERIVATIVE FINANCIAL INSTRUMENTS

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. The bank transacts in foreign exchange forward contracts principally for the purpose of generating a profit from short term fluctuations in exchange rates. The contracts purchased are primarily denominated in the currencies of the bank's principal markets.

At the balance sheet date, the bank had contracted to sell Sh 925,939,500 and buy Sh 935,037,500 equivalent under forward contracts denominated in US dollars, GBP and Euros.

Notes to the Financial Statements (continued)

32 CONCENTRATIONS OF ASSETS, LIABILITIES AND OFF BALANCE SHEET ITEMS

Details of significant concentrations of the banks assets, liabilities and off balance sheet items by industry groups are as detailed below:

(a) Advances to customers

	2003 Sh'000	%	2002 Sh'000	%
Agriculture	441,942	5	593,600	11
Manufacturing	715,570	9	573,360	11
Wholesale and retail	473,121	6	550,027	10
Transport and communication	2,974,280	38	1,178,636	22
Real estate	82,332	1	127,568	2
Social community and personal services	506,934	7	650,834	12
Business services	337,102	5	556,046	11
Other	2,366,136	29	1,199,197	21
	<u>7,897,417</u>	<u>100</u>	<u>5,429,268</u>	<u>100</u>

(b) Customer deposits

Central Government	-	0	51,244	1
Non public enterprises	-	0	59,387	1
Non bank financial institutions	-	0	419,856	6
Building societies	3,809	0	-	0
Co-operative societies	12,569	1	1,064	0
Insurance companies	355,562	4	82,266	1
Private enterprises	2,485,710	31	2,107,733	32
Non profit institutions and individuals	5,093,586	64	3,771,694	59
	<u>7,951,236</u>	<u>100</u>	<u>6,493,244</u>	<u>100</u>

(c) Off balance sheet items (letters of credit and guarantees and forward contracts)

	2003 Sh'000	%	2002 Sh'000	%
Manufacturing	425,518	20	138,786	25
Wholesale and retail	20,189	1	2,420	-
Transport and communication	727,426	33	13,396	2
Real estate	2,185	-	1,602	-
Social community and personal services	12,712	1	4,333	1
Business services	83,602	3	35,093	7
Other	911,564	42	356,841	65
	<u>2,183,196</u>	<u>100</u>	<u>552,471</u>	<u>100</u>

Notes to the Financial Statements (continued)

33 RETIREMENT BENEFIT OBLIGATIONS

(a) Defined benefit Scheme

The company operates a defined benefit plan for qualifying employees. Under the scheme, the employees are entitled to an annual pension of 2% of retiring salary for each year of pensionable service on attainment of a retirement age of 60, subject to a maximum of 2/3rds of retiring salary.

Amounts recognised in income in respect of the scheme are as follows:

	2003 Sh'000	2002 Sh'000
Current service cost	11,586	9,709
Interest costs	6,801	6,119
Expected return on plan assets	(8,251)	(8,646)
Net actuarial gains	(10,136)	(4,318)
Total included in staff costs in respect of the Scheme	-	2,864

The details of the bank's obligation in respect of the defined retirement benefit Scheme are as follows:

	2003 Sh'000	2002 Sh'000
Present value of funded obligations	(81,501)	(75,422)
Fair value of Scheme assets	106,398	97,323
Net over/(under) funding	24,897	21,901
Unrecognised actuarial gains	(24,897)	(21,901)
Net asset/(liability) in the balance sheet	-	-

The net cumulative unrecognised actuarial gains exceeding 10 per cent of the fair value of Scheme assets were amortised over the expected average remaining working lives of the participating employees. The resulting actuarial gain to be recognised, was found to be immaterial and has, therefore, not been recognised in these financial statements.

Movements in the net asset in the current period were as follows:

	2003 Sh'000	2002 Sh'000
At 1 January	-	-
Amounts charged to income	-	2,864
Contributions	-	(2,864)
At 31 December	-	-

Notes to the Financial Statements (continued)

33 RETIREMENT BENEFIT OBLIGATIONS (Continued)

(a) Defined benefit Scheme (Continued)

	Valuation at	
	2003	2002
Key assumptions used:		
Discount rate	10%	10%
Expected return on plan assets	10%	10%
Expected rate of salary increases	8%	8%
Future pension increases	0%	0%

(b) Service gratuity

Staff hired on contract are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

	2003 Sh'000	2002 Sh'000
Fair value at 1 January	11,901	13,052
Income statement charge	20,599	20,532
Paid during the year	(21,579)	(21,683)
Fair value at 31 December	<u>10,921</u>	<u>11,901</u>

	Valuation at	
	2003	2002
Key assumptions used:		
Discount rate	12%	12%
Expected rate of salary increases	0%	0%

Notes to the Financial Statements (continued)

34 RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placings are made in the bank by directors, their associates and companies associated to directors. Advances to customers at 31 December 2003 include advances and loans to companies associated to directors. Contingent liabilities at 31 December 2003 include guarantees and letters of credit for companies associated to directors.

All transactions with related parties are at arm's length in the normal course of business, and on terms and conditions similar to those applicable to other customers.

	Directors Associated companies		Employees/staff	
	2003 Sh'000	2002 Sh'000	2003 Sh'000	2002 Sh'000
Movement in related party balances was as follows:				
<i>Loans and advances:</i>				
At 1 January	39,257	19,553	108,436	95,482
Net movement during the year	184,642	19,704	11,746	12,954
At 31 December	<u>223,899</u>	<u>39,257</u>	<u>120,182</u>	<u>108,436</u>

These loans and advances are performing and are adequately secured.

Interest earned on advances to directors and associated companies amounted to Sh 3,398,000 and Sh 6,733,000 on staff advances.

	Directors Associated companies		Employees/staff	
	2003 Sh'000	2002 Sh'000	2003 Sh'000	2002 Sh'000
<i>Deposits:</i>				
At 1 January	1,909,192	1,798,382	29,252	31,961
Net movement during the year	130,642	110,810	(9,867)	(2,709)
At 31 December	<u>2,039,834</u>	<u>1,909,192</u>	<u>19,385</u>	<u>29,252</u>

Interest paid on deposits from directors and associated companies amounted to Sh 49,380,000 and Sh 1,132,000 on staff deposits.

	2003 Sh'000	2002 Sh'000
Guarantees and letters of credit to Companies associated to directors	<u>76,933</u>	<u>58,641</u>

Notes to the Financial Statements (continued)

35 LIQUIDITY RISK

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2003 to the contractual maturity date.

ASSETS

	Up to 1 month Sh'000	1 - 3 months Sh'000	4 - 6 months Sh'000	7 - 12 months Sh'000	1 - 3 years Sh'000	4 - 5 years Sh'000	Over years Sh'000	Total Sh'000
Cash and balances with Central Bank of Kenya	533,903	135,405	6,498	8,831	3,386	75	-	688,098
Government securities	899,226	440,991	133,145	203,585	295,198	-	-	1,972,145
Deposits and balances due from banking institutions	704,134	-	-	-	-	-	-	704,134
Advances to customers	1,405,564	323,924	633,741	1,055,841	2,562,878	631,196	283,014	6,896,158
Other assets	257,292	-	-	-	-	-	-	257,292
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	403,801	403,801
Operating lease prepayments	-	-	-	125	375	250	7,750	8,500
Intangible assets	-	-	-	-	-	-	55,627	55,627
Total assets	3,800,119	900,320	773,384	1,268,382	2,861,837	631,521	800,693	11,036,256

LIABILITIES AND SHAREHOLDERS' FUNDS

Customer deposits	4,976,143	2,612,572	125,373	170,380	65,324	1,444	-	7,951,236
Other liabilities	295,859	-	-	-	-	-	-	295,859
Line of credit	-	6,255	6,091	12,182	42,637	-	-	67,165
Balances due to banking institutions	53,165	-	-	-	-	-	-	53,165
Taxation payable	-	-	6,933	-	-	-	-	6,933
Unclaimed dividends	23,257	-	-	-	-	-	-	23,257
Due to subsidiary company	4,319	-	-	-	-	-	42,026	46,345
Deferred tax liability	-	-	-	-	-	-	16,136	16,136
Shareholders' funds	-	-	-	-	-	-	2,576,160	2,576,160
Total liabilities and shareholders' funds	5,352,743	2,618,827	138,397	182,562	107,961	1,444	2,634,322	11,036,256
Net liquidity gap	(1,552,624)	(1,718,507)	634,987	1,085,820	2,753,876	630,077	(1,833,629)	-
At 31 December 2002								
Total assets	3,771,887	1,301,241	676,661	1,234,581	1,502,951	350,708	491,253	9,329,282
Total liabilities and shareholders' funds	4,227,246	2,317,652	75,680	117,955	50,684	18,480	2,521,585	9,329,282
Net liquidity gap	(455,359)	(1,016,411)	600,981	1,116,626	1,452,267	332,228	(2,030,332)	-

Notes to the Financial Statements (continued)

The bank is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risk. Included in the table are the bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The bank does not bear an interest rate risk on off balance sheet items.

ASSETS

	Up to 1 month Sh'000	1 - 3 months Sh'000	4 - 6 months Sh'000	7 - 12 months Sh'000	1 - 3 years Sh'000	Over 3 years Sh'000	Non-interest Bearing Sh'000	Total Sh'000
Cash and balances with Central Bank of Kenya	-	-	-	-	-	-	688,098	688,098
Government securities	900,000	440,200	130,800	200,000	290,000	-	11,145	1,972,145
Deposits and balances due from banking institutions	704,134	-	-	-	-	-	-	704,134
Advances to customers	6,720,903	-	15,255	15,000	45,000	100,000	-	6,896,158
Other assets	-	-	-	-	-	-	257,292	257,292
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	403,801	403,801
Operating lease prepayments	-	-	-	-	-	-	8,500	8,500
Intangible assets	-	-	-	-	-	-	55,627	55,627
Total assets	8,325,037	440,200	146,055	215,000	335,000	100,000	1,474,964	11,036,256

LIABILITIES AND SHAREHOLDERS' FUNDS

Customer deposits	4,976,143	2,612,572	125,373	170,380	65,324	1,444	-	7,951,236
Other liabilities	-	-	-	-	-	-	295,859	295,859
Line of credit	-	6,255	6,091	12,182	42,637	-	-	67,165
Balances due to banking institutions	53,165	-	-	-	-	-	-	53,165
Taxation payable	-	-	-	-	-	-	6,933	6,933
Unclaimed dividends	-	-	-	-	-	-	23,257	23,257
Due to subsidiary company	-	-	-	-	-	-	46,345	46,345
Deferred tax liability	-	-	-	-	-	-	16,136	16,136
Shareholders' funds	-	-	-	-	-	-	2,576,160	2,576,160
Total liabilities and shareholders' funds	5,029,308	2,618,827	131,464	182,562	107,961	1,444	2,964,690	11,036,256
Interest rate sensitivity gap	3,295,729	(2,178,627)	14,591	32,438	227,039	98,556	(1,489,726)	-
At 31 December 2002								
Total assets	6,407,764	694,266	15,000	441,650	320,800	85,000	1,364,802	9,329,282
Total liabilities and shareholders' funds	4,058,206	2,317,652	69,862	70,964	50,684	18,480	2,743,434	9,329,282
Interest rate sensitivity gap	2,349,558	(1,623,386)	(54,862)	370,686	270,116	66,520	(1,378,632)	-

Notes to the Financial Statements (continued)



37 CURRENCY RISK

The bank operates wholly within Kenya and its assets and liabilities are reported in the local currency.

The bank's currency risk is managed within the Central Bank of Kenya exposure guideline of 20% core capital. The bank's management monitors foreign currency exposure on a daily basis.

The bank's currency position is as follows:

ASSETS

	SH Sh'000	USD Sh'000	GBP Sh'000	EURO Sh'000	OTHERS Sh'000	TOTAL Sh'000
Cash and balances with						
Central Bank of Kenya	666,091	18,690	699	2,550	68	688,098
Government securities	1,972,145	-	-	-	-	1,972,145
Deposits and balances due						
from banking institutions	91,139	431,533	79,992	97,926	3,544	704,134
Advances to customers	5,875,377	1,020,766	9	5	1	6,896,158
Other assets	225,695	7,284	20,185	1,100	3,028	257,292
Investment in subsidiary						
companies	50,501	-	-	-	-	50,501
Property and equipment	403,801	-	-	-	-	403,801
Operating lease prepayments	8,500	-	-	-	-	8,500
Intangible assets	55,627	-	-	-	-	55,627
Total assets	9,348,876	1,478,273	100,885	101,581	6,641	11,036,256

LIABILITIES AND SHAREHOLDERS' FUNDS

Customer deposits	6,255,100	1,472,875	97,358	125,903		7,951,236
Other liabilities		67,165	-	-	-	67,165
Line of credit	294,984	35	668	172	-	295,859
Balances due to banking						
institutions		53,165				53,165
Tax payable	6,933	-	-	-	-	6,933
Unclaimed dividends	23,257	-	-	-	-	23,257
Due to subsidiary company	46,345	-	-	-	-	46,345
Deferred tax liability	16,136	-	-	-	-	16,136
Shareholders' funds	2,576,160	-	-	-	-	2,576,160
Total liabilities and						
shareholders' funds	9,218,915	1,593,240	98,026	126,075	-	11,036,256
Net balance sheet position	129,961	(114,967)	2,859	(24,494)	6,641	-

OFF BALANCE SHEET ITEMS

Foreign exchange forward						
contracts -net position	-	-	-	9,098	-	9,098
Overall net position	129,961	(114,967)	2,859	(15,396)	6,641	9,098

Notes to the Financial Statements (continued)

38 RISK MANAGEMENT POLICIES

The financial risk management objectives and policies are as outlined below:

Credit risk

The company's credit risk is primarily attributable to its loans and advances.

The amounts presented in the balance sheet are net of allowances for doubtful advances, estimated by the company's management based on prior experience and their assessment of the current economic environment.

The bank structures the level of credit risk it undertakes by placing limits on amounts of risk accepted in relation to one borrower or a group of borrowers. Such risks are monitored on a revolving basis and are subject to annual or more frequent review.

Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate guarantees.

The bank has no significant concentration of credit risk, with exposure spread over a diversity of personal and commercial customers as set out in note 32.

Interest rate risk

The bank is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rate. Interest rates on advances to customers including corporate bonds are either pegged to the bank's base lending rate or treasury bill rate. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. The bank also invests in fixed interest rate instruments issued by the Central bank of Kenya.

Interest rate on customer deposits are negotiated between the bank and the customer. The bank has the discretion to change the rates in line with changes in market trends.

These measures minimise the bank's exposure to interest rate risk.

Liquidity risk

The bank is exposed to the risk that the company will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk is addressed through the following measures:

- The bank enters into lending contracts subject to availability of funds.
- The bank has an aggressive strategy aimed at increasing the customer deposit base.
- The bank borrows from the market through inter bank transactions with other banks, pension funds and insurance companies for short term liquidity requirements.
- The bank invests in short term liquid instruments which can easily be sold in the market when the need arises.
- Investments in property and equipment are properly budgeted for and done when the bank has sufficient cash flows.

Notes to the Financial Statements (continued)



38 RISK MANAGEMENT POLICIES (Continued)

Currency risk

The bank is exposed to the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The bank participates in the foreign currency market as a market maker and a market user. Forex transactions and limits are reviewed and approved by the board. The board through the assets and liability committee ensures that any assets raised in foreign currency are covered by similar liabilities in the same currency to hedge against the risk associated with fluctuations in foreign exchange rates.

39 ASSETS PLEDGED AS SECURITY

As at 31 December 2003, there were no assets pledged by the bank to secure liabilities and there were no secured bank liabilities.

40 FAIR VALUE

The directors consider that there is no material difference between the fair value and carrying value of the company's financial assets and liabilities where fair value details have not been presented.

41 FIDUCIARY ACTIVITIES

The bank holds asset security documents on behalf of customers with a value of Sh 3,666,922,000 (2002 Sh 2,665,221,000). Most of these securities are held by the custody services department. The assets held comprise of deposits with financial institutions, government securities and quoted and unquoted securities.

42 COUNTRY OF INCORPORATION

The company is incorporated in Kenya under the Companies Act.

43 CURRENCY

The financial statements are presented in Kenya Shillings thousands (Sh'000).

Performance History

Historia ya Dhima



YEAR	FINANCE PROVIDED Sh '000	PROFIT BEFORE TAXATION Sh '000	TAXATION Sh '000	DIVIDENDS DECLARED Sh '000	FUNDS RETAINED Sh '000	SHARE HOLDERS' FUNDS Sh '000
1960	15,812	(670)	-	-	(670)	3,330
1970	42,088	5,604	2,190	3,310	1,040	8,970
1980	249,908	25,745	11,788	6,750	7,208	38,150
1990	1,428,641	60,307	26,721	14,063	19,523	131,631
1991	1,600,090	83,580	34,965	17,578	31,037	162,036
1992	1,874,043	132,413	43,394	24,610	64,409	226,445
1993	2,203,193	287,126	101,825	61,523	123,778	420,970
1994	3,276,132	339,616	167,507	61,523	110,586	530,676
1995	4,571,954	545,737	218,950	98,437	228,350	759,026
1996	5,588,952	578,907	226,895	98,877	253,135	1,011,722
1997	5,777,216	590,164	191,603	131,864	266,697	1,707,774
1998	4,752,449	435,558	145,945	115,381	174,232	1,886,614
1999	4,283,161	461,569	160,746	148,346	152,477	2,128,249
2000	3,940,359	451,165	138,576	148,346	164,243	2,296,255
2001	4,246,768	377,040	119,921	131,863	125,256	2,401,103
2002	4,712,576	340,224	111,089	164,829	64,306	2,498,375
2003	6,896,158	359,323	116,709	185,433	57,181	2,576,160

Proxy Form

Wakala - (Ajenti)



The Secretary,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599, Nairobi

PROXY

I/We _____
of _____
being a member/members of National Industrial Credit Bank Limited and entitled to

_____ votes hereby appoint _____
of _____
or failing him _____
of _____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General meeting of the company to be held on
18 May 2004 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2004

Signature(s) of

NOTE: In case of a Corporation, the Proxy must be made under it's Common Seal.



Proxy Form

Wakala

Katibu,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599, Nairobi

WAKALA

Mimi/Sisi _____

wa anuani hii _____

nikiwa mwanachama/tukiwa wanachama wa National Industrial Credit Bank Limited na

nikiwa/tukiwa na haki ya kura _____

namchagua/twamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua/tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano wa Mwakawa

Kampuni utakaofanyika tarehe 18 Mei 2004 au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia/

twashuhudia kwa mkono/mikono wangu/yetu siku hii ya

tarehe _____ mwezi wa _____ 2004

Sahihi

ELEWA: Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kamouni hiyo
(common seal)





24hr MOVE

EARNY REWARDS
MOVE

WITH THE RIGHT MOVE,
CURRENT ACCOUNT,
AND YOU GET...

- 0% interest rate on overdrafts
- £1000 credit limit
- 24-hour helpline
- Free mobile phone
- Free travel insurance
- Free car insurance
- Free home insurance
- Free pet insurance
- Free life insurance
- Free health insurance
- Free dental insurance
- Free vision insurance
- Free hearing insurance
- Free fertility insurance
- Free IVF insurance
- Free surrogacy insurance
- Free adoption insurance
- Free bereavement insurance
- Free grief insurance
- Free counselling insurance
- Free therapy insurance
- Free support insurance
- Free advice insurance
- Free information insurance
- Free education insurance
- Free training insurance
- Free employment insurance
- Free business insurance
- Free property insurance
- Free vehicle insurance
- Free travel insurance
- Free health insurance
- Free life insurance
- Free pet insurance
- Free home insurance
- Free car insurance
- Free mobile phone
- Free 24-hour helpline
- Free £1000 credit limit
- Free 0% interest rate on overdrafts

MOVE

